The world in brief

Catch up quickly on the global stories that matter

Photograph: EPA

Iran's Revolutionary Guards, the country's paramilitary force, threatened to spread war "beyond [its] region" if America attacks again. **Donald Trump** has repeatedly suggested that he is mulling whether to bomb Iran, despite also insisting on Tuesday that the conflict would be over "very quickly". Meanwhile two Chinese tankers exited the Strait of Hormuz, raising hopes of a nearing deal.

Israel's parliament, **the Knesset**, voted 110-0 to dissolve itself. The bill must clear three more readings before it can take effect, but the vote begins a countdown to an election in September or October. Binyamin Netanyahu's coalition with ultra-Orthodox parties collapsed after Israel's prime minister failed to pass a law that would exempt religious seminary students from compulsory military service.

Xi Jinping and **Vladimir Putin** released a statement criticising America's military actions. The leaders warned that America's plan to create a "Golden Dome", a high-tech defensive shield, threatens "global strategic stability". They wrapped up talks in Beijing on Wednesday after signing a series of deals on trade and technology. The details of a long-touted gas pipeline between the two countries were not finalised, though.

James Murdoch, the second son of the media mogul Rupert Murdoch, agreed to buy half of **Vox Media**. The deal includes the acquisition of *New York* magazine, which was once owned by his father. It is his largest purchase since he and his siblings struck a $3.3bn deal over control of the family's media empire, which includes Fox News.

The **European Union** provisionally agreed to remove import duties on some **American** goods to avoid a stand-off in trade negotiations with Mr Trump. The European Parliament and the Council agreed on legislation as part of a trade deal agreed in July. Under the agreement, which European lawmakers have called unbalanced, America will impose tariffs of 15% on most EU goods.

Target reported first-quarter revenue of $25.4bn, beating expectations of $24.6bn. The American retailer also saw net sales grow by more than 6% year-over-year. Michael Fiddelke, its boss, said the results mark a "new chapter of growth" for the company, which has experienced a slump in recent years, but warned it would keep a "cautious outlook" because of macroeconomic uncertainty.

Google said it will introduce "Spark", a new AI agent, to its search engine. The bot will draw on user data from products such as Gmail and Maps to carry out tasks. The tech giant also unveiled smart glasses—a decade after it shelved Google Glass. The specs—intended to rival Meta's Ray-Bans—respond to voice commands and can take photos and videos.

Figure of the day: $2,030, the price of the cheapest tickets for the World Cup final—the most expensive cultural event ever. But FIFA's pricing could backfire.

Photograph: Getty Images

A test for the AI frenzy

Nvidia's earnings have become a bellwether for the artificial-intelligence business. The world's most valuable company reports quarterly results on Wednesday. Analysts think revenue in the first quarter reached $78.5bn. That would be a rise of more than 78% year on year and would set a record. But investors may greet the numbers with caution. They are worried about whether the chipmaker's customers will continue their buying spree.

A looming challenge for Nvidia is the rise of "agentic AI", in which computer systems carry out complex tasks on their own. That is expected to raise demand for central processing units, the sort of chips made by its competitors, Intel and AMD. Geopolitics is another worry. Nvidia's future in China, once one of its biggest markets, is uncertain. In December the American government allowed the American company to sell its H200 chips to China. But Donald Trump recently said that China had not approved purchases because it wants to "develop their own". Chinese chip designers may not match Nvidia at the top end yet. But for China's AI firms, "good enough" may be good enough.


Photograph: Getty Images

The future of Commerzbank

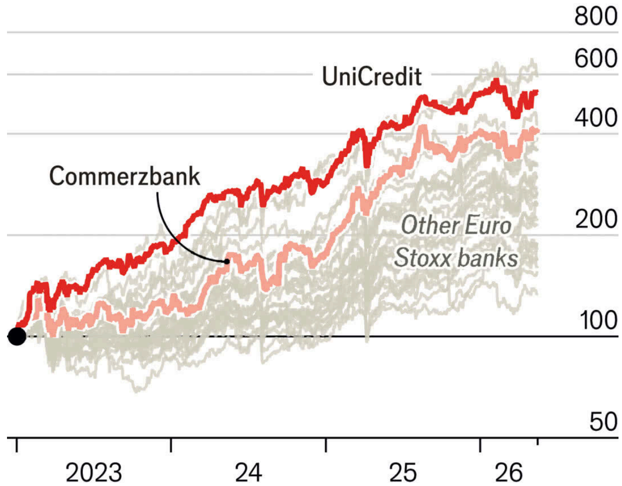
On Wednesday Commerzbank will hold perhaps the most eventful annual general meeting of its 156-year history. At stake is the survival of Germany’s second-largest listed bank. Unibank, an Italian bank, is trying to buy it cheaply, for €35bn ($41bn), using its own shares as currency. On May 18th the German bank urged its shareholders to reject the offer.

Over the past couple of years UniCredit has built a 36% stake in Commerzbank through share purchases and derivative contracts. Andrea Orcel, the Italian bank’s boss, wants to buy the rest in order to merge Commerzbank with HypoVereinsbank, a German bank UniCredit bought in 2005. But Commerzbank’s bosses see UniCredit’s offer as an attack on its tried-and-tested business model. They also think that Mr Orcel’s offer is too low and that his targets for cost savings are unrealistic. This month Commerzbank presented the strategy it would adopt if it remains independent, which includes 3,000 job cuts. It is about to find out whether shareholders will endorse it.

Festa alla milanese

Share prices, January 2nd 2023=100

Log scale



Source: Bloomberg

Photograph: Getty Images

China’s narrow reflation

The war in the Gulf has raised inflation around the world. But the price shock hits differently in China. Prior to the conflict, inflation in the world’s second-biggest economy was uncomfortably low. Producer prices had fallen, year on year, for 41 months in a row.

The war broke that grim sequence: producer prices rose a little in March and by 2.8% in April. This jump may deter the central bank from cutting interest rates this year, and the “loan prime rate” that commercial banks charge their best customers remained unchanged when it is announced on Wednesday. But this inaction may prove to be a mistake. China’s reflation is narrow and domestic spending is still painfully weak. It may seem counterintuitive to ease monetary policy when inflation is rising. But that may be the only way to ensure that China doesn’t slump back into deflation when the energy shock passes.

Photograph: EPA

A growing crisis in Indonesia

In a hastily scheduled address to parliament on Wednesday, Indonesia’s president, Prabowo Subianto, unveiled a new body to control commodity exports. The aim appears to be to generate additional revenue from trade. Indonesia is the world’s biggest exporter of thermal coal, nickel and palm oil. Its government needs the money if it is to stay under its legal budget-deficit cap of 3% of GDP.

Mr Prabowo’s unusual address adds to the deepening sense of crisis in Indonesia. On Tuesday the rupiah hit a record low against the dollar; the bourse lost 3.5% of its value. Over the weekend the president dismissed concerns about the rising cost of dollars, telling a crowd that villagers do not use them. That will do little to allay growing unease in the country.


Photograph: AP

Korean football diplomacy

On Wednesday Naegohyang FC, a North Korean football team, beat their South Korean rivals to reach the final of the AFC Women's Champions League. It was a hard-fought match, as well as a rare instance of engagement between the countries, which are technically at war.

Inter-Korean dialogue has ground to a halt in recent years. This month North Korea abandoned its official goal of reunification with South Korea, having called its neighbour "the most hostile state" in recent years. But South Korea has said it wants to pursue "peaceful co-existence". It has cracked down on acts that could irritate the North, such as activists sending propaganda balloons over the border. Its ruling Democratic Party suggested the football game could be "the first step towards tearing down high barriers". If that may be too optimistic, there will at least be one big winner: women's football, which usually gets little attention in South Korea.

Illustration: Sandra Navarro

Daily quiz

We will serve you a new question each weekday. On Friday your challenge is to give us all five answers and tell us the theme. Email your responses (and your home city and country) by 1700 BST on Friday to . We'll pick three winners at random and crown them on Saturday.

Wednesday: Which famous American landmark had the letters "land" removed in 1949?

Tuesday: Who along with his then wife Melinda, founded one of the world's largest charitable foundations in 2000?

That so few now dare to be eccentric, marks the chief danger of the time.

John Stuart Mill